

Disciplinary and Termination Policy

NovaPack Sdn Bhd

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1. Purpose

This policy sets out the framework for managing employee misconduct and poor performance at NovaPack Sdn Bhd. It ensures that disciplinary action is taken consistently, fairly, and in accordance with Malaysian employment law, specifically the Employment Act 1955 (Act 265) and the Industrial Relations Act 1967 (Act 177).

2. Scope

This policy applies to all employees of NovaPack Sdn Bhd, including confirmed employees and employees on probation. Contract employees are subject to the terms of their individual contracts unless this policy is expressly incorporated therein.

3. Fundamental Distinction: Performance vs. Misconduct

NovaPack draws a clear distinction between underperformance and misconduct. The correct identification of the issue is critical because it determines the appropriate management process. Applying the wrong process is a common cause of unfair dismissal claims.

Underperformance	Misconduct
The employee is willing but unable to meet the required performance standard.	The employee is capable but has chosen to behave in a manner that breaches Company rules or acceptable standards.
Managed through the Performance Management Policy (HR-POL-001) and PIP process.	Managed through the disciplinary process set out in this policy.
Examples: failure to meet KPIs, poor quality of work, inability to acquire required skills.	Examples: dishonesty, insubordination, harassment, theft, unauthorised absence, breach of confidentiality.
A Domestic Inquiry is not required for pure performance cases but may be appropriate where the performance concern overlaps with conduct.	A Domestic Inquiry is required before any dismissal for misconduct, except in cases of the most serious gross misconduct where summary dismissal may be warranted.

Where an employee's situation involves both performance and conduct concerns simultaneously, the line manager must consult HR before proceeding. HR will advise on whether both processes may run concurrently or whether one takes precedence.

4. Progressive Discipline Framework

For misconduct matters, NovaPack follows a progressive discipline approach. The severity of the disciplinary action corresponds to the nature and frequency of the misconduct. The Company reserves the right to skip steps in the progressive framework where the misconduct is sufficiently serious.

Step 1: Verbal Warning

A verbal warning is issued for a first or minor breach. The line manager discusses the matter with the employee, states what behaviour must change, and sets a timeframe for improvement. The verbal warning is documented in writing and placed on the employee's HR file, but it is not a formal written warning.

Step 2: First Written Warning

A first written warning is issued where a verbal warning has not resulted in the required change, or where the misconduct is of a more serious nature. The written warning specifies the misconduct, the required improvement, the timeframe, and the consequence of further breaches. It remains active on the employee's file for 12 months.

Step 3: Final Written Warning

A final written warning is issued where previous warnings have not been effective, or where the misconduct is serious but does not yet warrant dismissal. The final written warning explicitly states that a further breach within the active period may result in termination of employment. It remains active on the employee's file for 12 months.

Step 4: Domestic Inquiry and Dismissal

Where misconduct persists after a final written warning, or where a single act of serious misconduct occurs, a Domestic Inquiry must be held before any decision to dismiss is made. The Domestic Inquiry process is set out in Section 5 of this policy.

5. Domestic Inquiry Procedure

A Domestic Inquiry is a formal internal hearing that provides the employee with an opportunity to respond to allegations of misconduct before a decision is made. The following steps must be followed in sequence.

5.1 Suspension Pending Inquiry

Where the nature of the alleged misconduct is such that the employee's continued presence in the workplace may interfere with the investigation or pose a risk, the Company may suspend the employee pending the inquiry. Suspension pending inquiry must be with full pay. Suspension is not a disciplinary sanction and must not be characterised as such.

5.2 Show-Cause Letter

HR issues a show-cause letter to the employee setting out the specific allegation(s) of misconduct in clear terms. The employee is given a minimum of three working days to respond in writing. The response must be considered before the Domestic Inquiry is convened.

5.3 Convening the Inquiry

The Domestic Inquiry panel must consist of at least two members. The panel must not include the line manager who initiated the complaint or anyone with a direct interest in the outcome. HR will appoint the panel in consultation with the relevant Department Head. The employee has the right to be accompanied by a fellow employee of their choosing but not by an external legal representative.

5.4 Conduct of the Inquiry

The inquiry is conducted as an internal proceeding, not a court hearing. The Company presents its case and evidence first. The employee is given a full opportunity to respond, present their own evidence, and question the Company's evidence. The panel may ask questions of both parties. Proceedings are recorded in writing.

5.5 Panel Decision

The panel deliberates privately following the inquiry and produces a written decision with reasons. The decision may be to find the allegation proved or not proved. Where proved, the panel recommends an appropriate sanction. The panel's recommendation is submitted to the Head of HR and the relevant Department Head for final approval. The final decision is communicated to the employee in writing within five working days of the inquiry.

6. Termination for Poor Performance

Termination on the grounds of poor performance is a last resort and must only be considered after the following conditions have been satisfied.

- The employee has been formally placed on a PIP under HR-POL-001 and the PIP has been completed or the maximum extension period has elapsed.
- The PIP was conducted in good faith, with realistic objectives, adequate support, and documented review meetings.
- The employee was explicitly informed in writing that failure to meet the PIP objectives may result in termination.

- The final PIP assessment has been reviewed and endorsed by the Head of HR.
- The matter has been referred to and approved by the relevant Department Head and, where required, the Chief Executive Officer.

Termination for poor performance does not require a Domestic Inquiry. However, the Company must be able to demonstrate just cause and excuse as required under Section 20 of the Industrial Relations Act 1967. The burden of proof rests with the Company.

7. Termination for Gross Misconduct

The following acts constitute gross misconduct and may warrant summary dismissal without notice or payment in lieu of notice, subject to the completion of a Domestic Inquiry.

- Theft, fraud, or dishonesty involving Company property, funds, or information.
- Physical assault or threatening behaviour against any employee, customer, or visitor.
- Serious breach of confidentiality or data protection obligations.
- Wilful damage to Company property.
- Reporting to work under the influence of alcohol or prohibited substances.
- Sexual harassment or workplace harassment in any form.
- Falsification of Company records or documents.

Even in cases of gross misconduct, the Company must follow the Domestic Inquiry procedure set out in Section 5 before effecting dismissal, unless the misconduct is so extreme and clear that immediate action is required to protect the safety of persons or Company assets.

8. Notice Periods

Notice of termination will be given in accordance with the employee's contract of service and the Employment Act 1955 (Act 265). Where the employee's contract is silent, the statutory minimum notice periods under Section 12 of the Employment Act 1955 apply. The Company reserves the right to pay in lieu of notice at its discretion.

Length of Service	Minimum Notice Period (Statutory)
Less than 2 years	4 weeks
2 years or more but less than 5 years	6 weeks
5 years or more	8 weeks

9. Right of Representation Under Malaysian Law

Under Section 20 of the Industrial Relations Act 1967, any employee who believes they have been dismissed without just cause or excuse may lodge a representation to the Director General of Industrial Relations within 60 days of the date of dismissal. NovaPack will cooperate fully with any such proceedings and will maintain complete records of all disciplinary and performance management processes.

10. Record Keeping

All disciplinary documents, including show-cause letters, inquiry records, warning letters, PIP documentation, and termination letters, must be retained on the employee's HR file for a minimum of seven years following the conclusion of the matter. These records are strictly confidential and are accessible only to authorised HR personnel and senior management.

11. Governing Law and References

- Employment Act 1955 (Act 265), Sections 12 to 14 and First Schedule
- Industrial Relations Act 1967 (Act 177), Section 20
- NovaPack Performance Management Policy (HR-POL-001)
- NovaPack PIP Template and Guidelines (HR-FORM-017)

- NovaPack Grievance Policy (HR-POL-008)

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